Monday, November 2, 2026 | Vol. I · No. 27 · DRAM · NAND · HBM · Tel Aviv edition | Data as of ~08:40 IST · Korea and Tokyo: Monday trading · US: Friday Oct 30 closes

The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

KIOXIA (TOKYO, MON)
−17% low fell as much as 17% to ¥11,165, a 6½-month low, after guiding December-quarter operating profit to ¥2T vs ¥2.35T expected · Nikkei, Bloomberg

KOSPI (MON CLOSE)
5,859.08 +128.34 (+2.24%) after opening −1.50% · 1:50 p.m. KST: SK hynix ₩1,493,000 (+5.36%), Samsung ₩231,500 (+2.89%) · Yonhap, Seoul Economic Daily

LEAD STORY

EARNINGS · JAPAN · NAND

Kioxia Shares Sink as Much as 17% After a Flat Profit Outlook

The flash maker expects December-quarter profit roughly level with September's as NAND price gains slow. It blames shipment timing and says next year's output is already sold out, but investors sold the slowdown.

By the Memory Cycle Desk · Tel Aviv · ~08:40 IST Monday (UTC+2) · Korea and Tokyo figures are intraday unless marked as closes · CONFIRMED unless marked

KEY NUMBERS · KIOXIA OUTLOOK AND MONDAY'S ASIA TRADING

KIOXIA, DECEMBER-QUARTER GUIDE

Operating profit guide vs consensus	**¥2.0T vs ¥2.35T**
September-quarter operating profit	**¥1.99T**
Revenue guide (Oct–Dec)	**¥2.5T**
NAND ASP rise, Sept qtr / June qtr	**mid-20% / ~70%**
Share low Mon (prior close)	**¥11,165, −17% (¥13,470)**
2027 output / 2028 output	**Sold out / over half allocated**

MONDAY, KOREA (CLOSE; STOCKS 13:50 KST) AND US FRIDAY CLOSES

KOSPI (close)	**5,859.08 (+2.24%)**
SK hynix / Samsung	**₩1,493,000 (+5.36%) / ₩231,500 (+2.89%)**
Pension funds, net buying	**₩401.8B**
SK Square (return plan)	**+6.02% (≥₩4.3T)**
Micron / Sandisk (Fri Oct 30)	**$884.74 (−5.30%) / $1,150.89 (−13.47%)**
DDR5 16Gb spot (TrendForce)	**$61.50 (flat)**

What this shows: the NAND side of the cycle is slowing (Kioxia's profit is flat quarter to quarter and its price gains have shrunk), while Korean DRAM stocks bounced as domestic pension funds and SK hynix's own buyback absorbed selling. KOSPI is the close; other Korea figures are intraday at 13:50 KST (06:50 IST); US prices are Friday closes. Sources: Kioxia via Bloomberg, Nikkei and The Japan Times; Korea Exchange via Seoul Economic Daily; TrendForce.

Kioxia guided October–December operating profit to about ¥2 trillion, against a consensus near ¥2.35 trillion and ¥1.99 trillion in the September quarter, on revenue of ¥2.5 trillion (Bloomberg, Nikkei). Its NAND average selling price rose in the mid-20% range in the September quarter, after about 70% the

quarter before (The Japan Times). The shares fell as much as 17% in Tokyo on Monday to ¥11,165, a six-and-a-half-month low (Nikkei), after an 11% drop on Germany's Tradegate on Friday. Bernstein analysts led by Mark Li called the flat outlook "a massive miss."

Management blamed timing rather than demand: orders were pulled into the September quarter, some enterprise-storage shipments slip to the March quarter, and more of the mix is lower-priced phone and PC parts. Chief financial officer Yoshihiko Kawamura said rapid growth returns in the March quarter and that AI data-center demand remains robust. Kioxia says its 2027 output is sold out, more than half of 2028 is allocated under long-term deals, and some customers are negotiating for 2029 and beyond (Bloomberg). The shares had surged more than 750% in the first half; Business Insider framed the drop as the AI trade getting pickier.

Our call: unchanged overall; NAND looser for a third session. Kioxia's flat guide, Sandisk's selloff and Nomura's slower eSSD growth for 2027 point the same way. DRAM is steady.

CYCLE SIGNAL: NAND SECOND DERIVATIVE TURNING, DRAM STEADY

MARKETS · KOREA

Korean Chip Stocks Rebound as Pension Funds and SK hynix's Buyback Step In

The KOSPI opened 1.5% lower after weak Big Tech results, then reversed to trade 2.93% higher at 5,900.66 by 1:50 p.m. and closed at 5,859.08, up 2.24% (Yonhap). Pension funds bought ₩401.8 billion, and "other corporates", a category believed to include SK hynix's buyback, bought ₩386.8 billion (Seoul Economic Daily). SK hynix is buying back 14.92 million shares between Oct. 29 and Jan. 28 under its ₩100 trillion shareholder-return package. Separately, SK Square, SK hynix's largest shareholder, pledged at least ₩4.3 trillion of returns, its largest since its 2021 launch, from more than ₩6.2 trillion of expected SK hynix dividends; it will return at least 60% of recurring dividend income through 2028, double its earlier 30% floor, plus all of the Kioxia-linked special dividend (Korea Herald).

CONTRACTS · LTAS

Samsung and SK hynix Lock More Capacity Into Long-Term Orders

Samsung has signed long-term agreements with 10 customers and is negotiating with 10 more. It aims to put 60–70% of capacity under such contracts by 2030, as demand spreads from AI servers to mobile, auto and networking. SK hynix has deals with 14 customers, typically five years long, covering more than half of 2027–28 capacity. Samsung says volumes requested for extensions "far exceeded expectations" (Korea JoongAng Daily). TrendForce expects new fabs to lift DRAM supply significantly around 2028. At Friday's close, Samsung was 39.9% and SK hynix 52.5% below their 52-week highs.

SUPPLY · CHINA

CXMT Pursues Long-Term Contracts and Says Its Prices Match Rivals'

China's CXMT said long-term supply negotiations with several major customers are progressing well, and that its products are generally priced on par with those of overseas rivals. Its third-quarter gross margin rose 1.94 points to 89.53%, which it expects to hold in the fourth quarter (TrendForce, citing 21st Century Business Herald and Star Market Daily). Separately, Japan's Shin-Etsu signalled that silicon-wafer demand now exceeds its long-term contracts: from January, some extra volume will ship at spot prices above contract levels, and capacity growth in 2027 is unlikely to top 10% (Commercial Times).

FROM THE INBOX · SINCE NOV 1, 08:15 IST

NEW **No hard landing, says BofA.** Sees DRAM prices moving only single digits a year through 2028–30, with no downcycle expected. Broker note via semis digest

NEW **Demand still outruns supply.** Nomura: data-center memory supply growth capped at 20–25% in 2026–27; server DRAM demand +70% in both years; HBM +50% in 2026 and +50–60% in 2027; eSSD slows to +50–60% in 2027 from +110%. Broker note via semis digest

NEW **October was a rout for chip stocks.** Semis −17% in October, Tech's worst month since September 2022; the desk's largest net-selling month in Tech in more than five years; Sandisk −13% on results day. Jefferies trading desk

Cloud budgets still rising. Jefferies lifts its 2027 hyperscaler-plus-Meta capex estimate to $1.2T (+$27B); cloud backlog $2.5T (+106% y/y). Jefferies AI cloud note

ON X · SINCE SUN ~08:00 · IST

@pequityresearch · Nov 2 00:07
"BofA: We now see single-digit% YoY fluctuation in DRAM prices through 2028-30, no hard-landing or downcycle is expected."
x.com/.../2117015576178532410

@pequityresearch · Nov 1 21:05
Nomura: data-center memory supply growth constrained at 20–25% in 2026–27; eSSD demand growth slows to 50–60% in 2027 from 110%; server DRAM +70% in both years.
x.com/.../2116969774630474007

@RealNickMugalli · Nov 2 02:52 OPINION
Kioxia −15% on a ¥2T vs ¥2.35T guide: "NAND prices are still rising just more slowly… The market keeps calling the top in memory."
x.com/.../2117057108239626273

@dnystedt · Nov 2 00:30
Silicon wafers to see their first broad-based price increase in over three years in January as advanced-node demand "shatters expectations," media report.
x.com/.../2117021506614219101

CYCLE TRACKER · UNCHANGED: NAND LOOSER, DRAM STEADY

GAUGE	TODAY VS NOV 1 (KPI WATCH LIST)	NUDGE
Contract ROC	Kioxia NAND ASP growth mid-20% vs ~70% the quarter before; DDR5 16Gb spot flat at $61.50 (spot not yet falling below rising contract)	**NAND slowing**
LTAs / lead times	Samsung 10 LTAs + 10 in talks, 60–70% by 2030; SK hynix 14; Kioxia 2027 sold out, >half of 2028 allocated; CXMT negotiating	**Longer**
Guide vs consensus	Kioxia Dec-qtr operating profit ¥2T vs ¥2.35T; shares −17% at the low	**Miss (NAND)**
Capex / new supply	TrendForce sees new fabs lifting DRAM supply ~2028; makers speeding up shells; Shin-Etsu wafer capacity <10% growth in 2027	**Building**
Demand / de-spec	Nomura: server DRAM +70% in 2026–27, eSSD slows to +50–60% in 2027; Kioxia mix shifting to lower-priced phone and PC parts	**DRAM up, NAND cooling**

VERDICT VS PREVIOUS CALL (NO. 26, NOV 1)
Late upcycle; tight through 2027 and booked into 2028. Unchanged overall. NAND is looser again: Kioxia's flat December-quarter guide and slower price gains, plus Nomura's slower eSSD growth for 2027. DRAM is steady to firmer: longer LTAs at Samsung and SK hynix, BofA's no-hard-landing call, flat DDR5 spot. Playbook: the second derivative is turning in NAND (amber), not yet in DRAM; the next test is TrendForce's 1Q27 contract call.

EVENTS CALENDAR · NOV 2–14 · ISRAEL TIME (IST, UTC+2) · US CASH OPEN 16:30

Mon Nov 2	Apple FQ4 after the US close (call 00:00 Nov 3) · ON Semi, Tower, Aehr	Demand
Tue Nov 3	US midterm elections · AMD (call 00:00 Nov 4) · Supermicro, Arista, Astera Labs	AI
Wed Nov 4	Qualcomm (call 23:45) · Arm (call 00:00 Nov 5) · Coherent, GlobalFoundries	Phones
Fri Nov 6	US payrolls 15:30 · Micron Taoyuan union talks (reported)	Macro
Mon Nov 9	Sandisk split record date (8-for-1; split-adjusted trading from Nov 20)	NAND
Tue Nov 10	TSMC October sales (07:30) · US CPI 15:30 · CoreWeave	AI
~Wed Nov 11	Korea Nov 1–10 exports (chips)	Trade

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #27 · Nov 2, 2026